State Bond Referenda Questions

Referenda Questions 1 – 5 involve authorizing the State to borrow money through bonds and temporary notes to make capital investments **(Chapter 084 Public Laws 2026).**

What is a bond?

A bond is like a mortgage or loan. Just like people might borrow money to get an education or buy a home, the State is asking to borrow money from a lender with the promise to pay it back over time with interest. These questions are asking you for permission to borrow and invest in different areas of our state.

Here is a table of the bond proposals and their associated costs including principal and interest. Just as with a mortgage or loan, the total cost includes the principal amount borrowed and the amount of interest paid over the term of the bond. The total cost also includes any fees, printing, or underwriting expenses associated with issuing the bonds.

STATE BOND QUESTIONS	PRINCIPAL	INTEREST	TOTAL COSTS
1. Higher Education Facilities	$275,000,000	$166,333,250	$441,333,250
2. Housing and Homeownership	$120,000,000	$72,586,000	$192,586,000
3. Economic Development	$100,000,000	$60,483,750	$160,483,750
4. Cultural Economy	$50,000,000	$30,242,500	$80,242,500
5. Green Economy Bonds	$55,000,000	$33,267,500	$88,267,500
TOTAL BORROWING COSTS FOR ALL REFERENDA	$600,000,000	$362,913,000	$962,913,000

The total costs above are only estimates based on 20-year loans and an interest rate of 5%.

On the ballot, you will be asked:

"Shall the act passed by the General Assembly at the January 2026 session, allowing the State of Rhode Island to issue bonds, refunding bonds, and temporary notes to pay for the projects listed below, be approved, and the State be allowed to issue these bonds, refunding bonds, and temporary notes as outlined in the law?"

The following pages provide more information about each of the bond questions including their total estimated cost and project timetable. These estimated costs assume the bonds are gradually paid off with level payments over a 20-year period.

About Question 3:

What it will look like on the ballot:

3. ECONOMIC DEVELOPMENT - $100,000,000

To fund site development and growth industry infrastructure for economic development purposes, to be allocated as follows:

a. Site Development - $55,000,000

b. Growth Industry Infrastructure - $45,000,000

⬭ **Approve**
⬭ **Reject**

Approve

Your vote to "Approve" means that you support the State issuing $100,000,000 in general obligation bonds for economic development purposes.

Reject

Your vote to "Reject" means that you are against the State issuing $100,000,000 in general obligation bonds for economic development purposes.

Explanation and purpose of Question 3:

a) Site Development - $55,000,000

Approval of this bond will provide fifty-five million dollars ($55,000,000) to support land acquisition or assembly, environmental remediation, infrastructure and utility installation, site preparation or development, and project investments. Eligible uses include, but are not limited to, large-scale industrial site development, improvements within the Quonset Business Park, and land acquisition, preparation, and project investments within the I-195 District.

b) Growth Industry Infrastructure - $45,000,000

Approval of this bond will provide forty-five million dollars ($45,000,000) to support infrastructure, facilities, projects, and investments related to Rhode Island's ocean, defense, life sciences, data analytics/cybersecurity, and related industries. Eligible uses include, but are not limited to, water-based test ranges, onshore ocean- or defense-related innovation and production facilities, and investments that advance businesses and job growth in the life sciences.

How much money will be borrowed?

$100,000,000

Project timetable:

Projects funded by this bond are anticipated to begin in mid to late 2027 with many being undertaken within five years.

Useful life:

The useful life of projects is estimated to be a minimum of 50 years.

Total cost:

PROJECT COSTS		COST OF ISSUANCE*	
Principal	**Interest****	**Principal**	**Interest****
$99,600,000	$60,241,815	$400,000	$241,935

TOTAL PROJECT AND ISSUANCE COSTS		
Principal	**Interest****	**Total Costs**
$100,000,000	$60,483,750	$160,483,750

** Cost of issuance estimated at 0.4% of principal issued.*
*** Assumes an interest rate of 5%, with bonds amortized with level payments over 20 years.*